

Lecture Two

CSCI Technology Innovation | W26

© Andrew B Cochran MMXXVI

money-making
Where do ideas come from?
^

How to look depends on **what you want to find**

Four categories of innovation

Sustaining Innovation

TYPICALLY Incumbents *Apple*
GOAL Maintain market share
RESULT Refreshed/new products

Efficiency Innovation

TYPICALLY Incumbents *Amazon*
GOAL Increase efficiency
RESULT Lower costs, increase profit

Disruptive Innovation

TYPICALLY Startups *Netflix/Uber*
GOAL Open new market segments
RESULT Market upheaval

Market-creating Innovation

TYPICALLY Startups *OpenAI*
GOAL Create entirely new markets
RESULT Major social/wealth impacts

PROBLEM 1

Most startups fail.

PROBLEM 1

Most startups fail.

**Yrs 1-5
most fragile**

No validated market for idea

Product keeps searching to catch interest

Uncertain cash flow

PROBLEM 1

Most startups fail.

**Signs of
improved
chances**

Customers return on their own

Founders easily describe value to ideal customers

Fewer "heroics" in operations

PROBLEM 2

There is no data from the future.

"...we thought if we could create a system of trust, and make them feel not like strangers, this would be an idea that could spread around the world..."

- Brian Chesky



"Discovering ideas by understanding people"

"Making something people want"

PROBLEM 3

"What people want" isn't easy.

PROBLEM 3



"Some people say, 'Give the customers what they want.' But that's not my approach. Our job is to figure out what they're going to want before they do. I think Henry Ford once said, 'If I'd asked customers what they wanted, they would have told me, 'A faster horse!'" People don't know what they want until you show it to them. That's why I never rely on market research. Our task is to read things that are not yet on the page."

— Steve Jobs

“OUR TASK IS TO READ THINGS THAT ARE NOT YET ON THE PAGE”

“...READ THINGS THAT ARE NOT YET ON THE PAGE”

“Needs” = observable problems

“Wants” = inner desires

FIX

v.

SATISFY

Immediate issues
Often sub-goals

Deeper issues
Usually the main goals

“...READ THINGS THAT ARE NOT YET ON THE PAGE”

Passive understanding

Observing what people are doing

Active understanding

Asking “what do you want?”

Deeper understanding

Discovering why they are doing what they’re doing

**START with the customer problem and
then DISCOVER the underlying desire**

Jobs To Be Done What does the user want to achieve?



Jobs To Be Done People “hire” products to achieve goals

- > **Emotional drivers**
- > **Emotional blockers**

Jobs To Be Done
What outcome matters

What do
they want to
achieve?

Design Thinking
How to get there

“It’s not just what it looks
like and feels like. Design is
how it works.”

- Steve Jobs

Design Thinking



